

**LAW & MOTION CALENDAR
TENTATIVE RULINGS**

September 21, 2023

**Judge Melissa R. McCormick
Dept. CX104**

Department CX104 hears law and motion on Thursdays at 2:00 p.m.

Court reporters: Official court reporters typically are not provided in this department for any proceedings. If the parties desire the services of a court reporter, the parties should follow the procedures set forth on the court's website at www.occourts.org.

Tentative rulings: The court endeavors to post tentative rulings on the court's website by 9:00 a.m. the day of the hearing. Tentative rulings may not be posted in every case. Please do not call the department for tentative rulings if tentative rulings have not been posted.

Submitting on tentative rulings: If all parties intend to submit on the tentative ruling and do not desire oral argument, please advise the courtroom clerk or courtroom attendant by calling (657) 622-5304. Please do not call the department unless all parties submit on the tentative ruling. If all parties submit on the tentative ruling and so advise the court, the tentative ruling will become the court's final ruling and the prevailing party shall give notice of the ruling.

Appearances and public access: Appearances, whether in person or remote, must comply with Civil Procedure Code section 367.75, California Rule of Court 3.672, Orange County Superior Court Local Rule 375, and Orange County Superior Court Appearance Procedure and Information—Civil Unlimited and Complex (pub. 9/9/22).

Unless the court orders otherwise, remote appearances will be conducted via Zoom. All counsel and self-represented parties appearing via Zoom must check in through the court's civil remote appearance website before the hearing begins. Check-in instructions are available on the court's website.

The public may attend hearings by coming to court or via remote access as described above.

Photographing, filming, recording and/or broadcasting court proceedings are prohibited unless authorized pursuant to California Rule of Court 1.150 or Orange County Superior Court Local Rule 180.

Non-appearances: If nobody appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The court also might make a different order. See *Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442 n.1.

NO.	CASE NAME	MATTER
1	Aguayo v. Loritz & Associates, Inc. 2020-01175039	<u>Plaintiff's Motion for Approval of PAGA Settlement</u> "Because an aggrieved employee's action under the Labor Code Private Attorneys General Act of 2004 functions as a substitute for an action brought by the government itself, a judgment in that action binds all those, including nonparty aggrieved employees, who would be bound by a judgment in an action brought by the government." <i>Arias v. Superior Court</i> (2009) 46 Cal.4th 969, 986. PAGA settlements are subject to trial court review "to determine

whether [they are] fair, reasonable, and adequate in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 77.

The court has reviewed and considered the papers, including the supplemental papers, filed in support of plaintiff's motion for approval of a \$50,000 PAGA settlement. The court continues to have questions regarding the following issues:

1. Were the Supplemental Koulloukian Declaration (ROA 102), the Supplemental Green Declaration (ROA 100), and the Proposed Order (ROA 104) served on the LWDA? The proofs of service attached to those documents reflect service only on defendant's counsel.

As to the settlement:

2. The Supplemental Koulloukian Declaration states plaintiff has entered into a separate settlement and release agreement pursuant to which she will receive \$2,500. Supp. Koulloukian Decl. ¶ 3(7). The declaration further states plaintiff will not receive any compensation other than the \$2,500 for her individual settlement and release, and her individual PAGA payment. *Id.* When will plaintiff dismiss her individual claims? Do the parties intend that plaintiff's individual claims will be included in the judgment?

As to the notice:

3. The settlement agreement states defendant will fund the settlement 14 days after the Effective Date. Settlement Agreement ¶ 4.3. The Effective Date is the date the court enters judgment. *Id.* ¶ 1.9. Within 14 days after defendant funds the settlement, the settlement administrator is to disburse all funds other than the PAGA Counsel Litigation Expenses. *Id.* ¶ 4.4. The settlement agreement does not state when the notice will sent to the aggrieved employees. Do the parties contemplate that the notice will sent with the individual PAGA payments? The revised notice states that if an aggrieved employee disputes the number of pay periods stated in the notice, the aggrieved employee may contact the settlement administrator by telephone within 30 days of the mailing date on the notice. If an aggrieved employee meritoriously disputes the number of weeks worked, how do the parties contemplate any additional sums owed to the aggrieved employee will be paid and from what funds? If the parties desire to permit aggrieved employees to dispute the number of weeks worked, the settlement and notice should be revised as necessary to address the means by which any additional payments determined to be owed to an aggrieved employee will be paid and from what funds.

		4. There is typographical error in section 3.B. of the revised notice; the word "for" appears consecutively in the second sentence of the second paragraph. <u>As to the proposed order:</u> 5. The certified Spanish translation of the notice should be attached to the proposed order as an exhibit. 6. The PAGA Period in paragraph 3 of the proposed order differs from the PAGA Period in paragraph 1.19 of the settlement agreement. 7. In light of the above, the date, time and location of the final accounting hearing should be revised if necessary to a date after the deadline to cash checks has expired. The court holds final accounting hearings on Thursdays at 9:00 a.m. The proposed order should also state that plaintiff will submit to the court a final report at least 9 court days before the final accounting hearing, setting forth the actual amounts paid to aggrieved employees and the other amounts distributed under the settlement, including any uncashed checks. 8. The proposed order should reflect Department CX104 (not Department CX101). See Proposed Order at 2:2. The hearing on plaintiff's motion for approval is continued to <u>December 7, 2023 at 2:00 p.m.</u> in Department CX104 to permit the parties to address and respond to the above issues. A supplemental brief shall be filed at least 9 court days before the hearing and shall address as necessary each of the above points. If required, an amendment to the settlement agreement shall be submitted, rather than an "amended settlement agreement," to streamline the court's review of the documents. The parties shall provide redlined copies of any revised documents (e.g., revised settlement agreement, revised notice, revised proposed order). Plaintiff is ordered to give notice, including to the LWDA, and to file a proof of service. Plaintiff must also serve the LWDA with any supplemental brief and any amended settlement documents, and file a proof of service.
2	Diaz v. Express Services, Inc. 2019-01049858	<u>Plaintiffs' Motion for Approval of Class Action & PAGA Settlement</u> The court has reviewed and considered the papers, including the supplemental papers, filed in support of plaintiffs' motion for approval of a class action and PAGA settlement. The court continues to have questions regarding the following issues: 1. Were the Supplemental Brief (RAO 272), the Supplemental McNicholl Declaration (ROA 268), the Supplemental Davis Declaration (ROA 274), and the revised Proposed Order (ROA 266) served on the LWDA? The proof of service (ROA 270) does not reflect service of those documents on the LWDA.

As to the settlement:

2. The Supplemental McNicholl Declaration states the parties have filed a stipulation for plaintiff Diaz to file a third amended complaint that modifies the proposed class to match the settlement. Supp. McNicholl Decl. ¶ 8. No stipulation has been filed with the court. Accordingly, neither of the issues identified in the court's March 30, 2023 order regarding the class/subclass has been resolved. See 3/30/23 Order (Settlement Nos. 2, 3).
3. The Amendments to Joint Stipulation of Settlement (Supp. McNicholl Decl. Ex. 2) are not signed by defendant Express Services, Inc.
4. The Amendments to Joint Stipulation of Settlement (Supp. McNicholl Decl. Ex. 2) state that the changes made to the settlement agreement are "in bold, but do not include the headings and subheadings." Supp. McNicholl Decl. Ex. 2, at 1:5-6. The only bolded language appears in sections 3.06(f) and section 5.03. Are those intended to be the only changes to the settlement agreement?
5. The Amendments to Joint Stipulation of Settlement (Supp. McNicholl Decl. Ex. 2) have replaced section 3.04(a) of the settlement agreement ("Class Member Disputes") with new section 3.04(a) ("Requests for Exclusion from Class"). There does not now appear to be any provision addressing class member disputes. How will class member disputes be addressed, and where does that provision appear in the settlement agreement or Amendments to Joint Stipulation of Settlement?
6. The Amendments to Joint Stipulation of Settlement (Supp. McNicholl Decl. Ex. 2) state that any terms of the settlement agreement not amended in the Amendments to Joint Stipulation of Settlement shall remain in full force and effect. Supp. McNicholl Decl. Ex. 2, at 1:6-7. The Amendments to Joint Stipulation of Settlement have replaced section 3.04(b) of the settlement agreement ("Requests for Exclusion from Class") with new section 3.04(b) ("Objections to Settlement"). Section 3.04(c) of the settlement agreement ("Objections to Settlement") was not amended and thus "remain[s] in full force and effect." There thus now appear to be two sections addressing settlement objections, i.e., section 3.04(c) in the settlement agreement and new section 3.04(b) in the Amendments to Joint Stipulation of Settlement.
7. The Supplemental McNicholl Declaration states the Rashtchi Defendants "currently remain in the *Salazar* Action and upon the funding of the Gross Settlement Amount will be released. The Rashtchi Defendants are included in the

definition of the 'Released Parties.' . . . Accordingly, the Rashtchi Defendants will remain in the *Salazar* Action until the funding of the Gross Settlement Agreement [*sic*]. Thereafter, the Rashtchi Defendants will be released from both the *Diaz* and *Salazar* Action[s] since they are defendants that are incorporated within the definition of the 'Released Parties.'" Supp. McNicholl Decl. ¶ 23. Will the Rashtchi Defendants be included in the judgment or will plaintiffs dismiss the Rashtchi Defendants before entry of judgment and, if so, with or without prejudice?

As to the notice:

8. The notice shall be revised consistent with the above issues.
9. As discussed above, the Supplemental McNicholl Declaration states the parties have filed a stipulation for plaintiff Diaz to file a third amended complaint that modifies the proposed class to match the settlement. Supp. McNicholl Decl. ¶ 8. No stipulation has been filed with the court. Accordingly, the issues regarding the notice identified in the court's March 30, 2023 order regarding the class/subclass have not been resolved. See 3/30/23 Order (Settlement Nos. 2, 3; Notice No. 2).
10. Although the notice includes the Rashtchi Defendants in the definition of "SCD," the notice does not identify them as defendants. The notice should identify the Rashtchi Defendants as defendants.
11. The notice states individual PAGA payments will be calculated based on "qualifying workweeks" (Supp. McNicholl Decl. Ex. 3 (¶ 8)), but the Amendments to Joint Stipulation of Settlement (Supp. McNicholl Decl. Ex. 2 (¶ 3.06(f))) state that individual PAGA payments will be calculated based on "pay periods" (Supp. McNicholl Decl. Ex. 2 (¶ 3.06(f)), at 3:9). The notice and Amendments to Joint Stipulation of Settlement should be consistent.
12. The definition of "Released Claims" in section 9 of the notice is not consistent with the definition in section 5.01 of the settlement agreement.
13. Section 15 of the notice should clarify that each named plaintiff seeks \$7,500, i.e., \$15,000 total, as an incentive award.
14. The notice must include the date, time and location of the final approval hearing.
15. Section 19 of the notice should include instructions on how to obtain access to the docket(s) on the court's website, and state that key case documents are available on the

settlement administrator's website. The settlement administrator should also post on its website the settlement agreement and any amendment(s) thereto, the notice, the exclusion form, the objection form, the orders granting preliminary and final approval, and the judgment. The court prefers that key case documents and the final judgment be posted on the settlement administrator's website for at least 180 days.

As to the proposed order:

16. The proposed order shall be revised consistent with the above issues.
17. As discussed above, the Supplemental McNicholl Declaration states the parties have filed a stipulation for plaintiff Diaz to file a third amended complaint that modifies the proposed class to match the settlement. Supp. McNicholl Decl. ¶ 8. No stipulation has been filed with the court. Accordingly, the issues regarding the proposed order identified in the court's March 30, 2023 order regarding the class/subclass have not been resolved. See 3/30/23 Order (Settlement Nos. 2, 3; Proposed Order Nos. 1, 4).
18. There is no reference in the revised proposed order to attaching the settlement agreement, notice and forms to the proposed order as exhibits. See 3/30/23 Order (Proposed Order No. 3). Those documents should be attached to the proposed order as exhibits.
19. The revised proposed order does not include the deadline for submitting disputes. See 3/30/23 Order (Proposed Order No. 5).
20. The revised proposed order states the parties to the settlement are plaintiffs and defendant Super Color Digital, LLC. Defendant Express Services, Inc. is also a party to the settlement agreement.
21. Paragraph 1 of the revised proposed order should include the ROA number of the McNicholl Declaration referred to in that paragraph.
22. Paragraph 5 of the revised proposed order erroneously states plaintiffs Diaz and Salazar are preliminarily appointed and designated as class representatives "for all purposes." Plaintiffs Diaz and Salazar are appointed and designated as class representatives for settlement purposes only.
23. Paragraph 17 should include that Class Members may appear in person or through counsel at the final approval hearing even if they did not submit a written objection.

		24. The revised proposed order should propose a date for the final approval hearing. The court holds final approval hearings on Thursdays at 2:00 p.m. The motion for final approval must be filed at least 16 court days before the final approval hearing. The hearing on plaintiffs' motion for preliminary approval is continued to <u>December 7, 2023 at 2:00 p.m.</u> in Department CX104 to permit the parties to address and respond to the above issues. A supplemental brief shall be filed at least 9 court days before the hearing and shall address as necessary each of the above points. If required, an amendment to the settlement agreement shall be submitted, rather than an "amended settlement agreement," to streamline the court's review of the documents. The parties shall provide redlined copies of any revised documents (e.g., revised settlement agreement, revised notice, revised proposed order). Plaintiffs are ordered to give notice, including to the LWDA, and to file a proof of service. Plaintiffs must also serve the LWDA with any supplemental brief and any amended settlement documents, and file a proof of service.
3	Salvation Investment, LLC v. MO Murrayfield, LLC 2019-01050162	Off calendar.